Expatriate Benefits Policy
Effective October 1, 2020

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1. Purpose

The objective of this policy is to provide guidelines for the benefit and relocation package for Grade E and Grade F expatriate employees hired by Partners of the Americas (Partners) HQ. While differing laws in various countries may influence some aspects of the policy implementation, the basic guidelines are to be maintained in order to ensure a unified company policy on expatriate benefits.

2. Definitions

- Expatriate (Hereinafter "ex-pat") - An employee who is relocated from his/her home country to work at one of the branches of Partners abroad for a period exceeding one year.
- Host country - The receiving or destination country of the ex-pat.
- Home country - Originating country of the ex-pat.
- Spouse – Spouse or domestic partner of the ex-pat.
- Dependent – Any children, 18 years old or below, of the ex-pat.

3. Approval Process

Ex-pat offer letters and benefits must be approved by the President & CEO, and ex-pat employees will be on Partners HQ's payroll. Ex-pat employees will follow Partners HQ pay scale and be allotted Partners HQ's standard employee benefit package as outlined in the employee manual. The standard benefits package includes but is not limited to payroll taxes, 403(b) retirement contributions, AD&D, long-term disability, life insurance, health &dental insurance, sick leave, annual leave, maternity/paternity leave, and other leave as defined in the handbook. In addition to the standard benefit package from Partners HQ, ex-pat employees will be entitled to the below ex-pat benefits.

4. Work Visas

Engagement in an Ex-pat employment assignment is contingent on successful attainment of work authorization in the host country. The process for being granted a work visa will differ based on the host country and Partners will follow all local requirements. Partners will be responsible for supporting the application for a work visa for the employee. Partners will support the application of a residency visa only for the ex-pat's immediate family (for this matter, the term "immediate family" relates to the spouse and dependents of the ex-pat). The ex-pat has the responsibility to monitor the accuracy and expiration dates of visa documentation for themselves and their family in order to maintain a lawful working status in the host country.

5. Ex-pat Benefit Package

Below is Partners standard ex-pat benefit package that will be offered to all Grade E and F ex-pat employees, in addition to Partners standard fringe benefits. The President & CEO is authorized to make adjustments to any ex-pat benefits, including removing or adding additional benefits.

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The ex-pat is responsible for paying any tax liability incurred from benefits and compensation received in both their host and home countries (excluding countries in which the employer is required to deduct the taxes from all paid benefits).

5.1 Health & Dental Insurance

Partners will cover up to 100% of the premium for the ex-pat employee for both medical and dental insurance, which can be either a local host country or international plan. This is calculated as compared to a baseline plan. Partners will cover spouse and/or dependents at 80% of the premium cost of the baseline plan, and the remainder will be the responsibility of the employee.

5.2 403(b) Retirement

Beginning immediately upon hire, at the discretion of the President and CEO, Partners will match all employee's elective (voluntary) contributions made, up to threshold of 10%. Employees must regularly work at least 1,000 hours per year to qualify for employer contributions.

5.3 Annual Home of Record Leave

Ex-pat employees will accrue 10 days of home or record leave each year, which is in addition to annual leave. Home of record leave is accrued at 0.833 days per month of service. Use of the home of record leave must be coordinated with coworkers to ensure adequate coverage in the office. All home of record leave must be requested in writing and approved by the employee's supervisor and Partners HQ. Unused home of record leave may not be the basis of any lump-sum payment upon termination. Any unused home or record leave is considered forfeited upon termination.

In the event that the ex-pat fails to return to the host country after their approved leave, the ex-pat must repay the transportation costs connected with the home leave and must have the home leave charge changed to annual leave.

5.4 Annual Home of Record Trip (Airfare & Transportation Cost)

Partners will cover one economy round-trip airfare from the host country to the home country each year for the ex-pat to visit home/family. Partners will also cover any other transportation costs as necessary for the ex-pat to return to the home country including but not limited to taxis, buses, trains, etc. The cost for the ex-pat's spouse and/or dependents who continue to reside in the host country will also be covered by Partners once each year. Dependents are covered until age 18.

In the event that the ex-pat fails to return to the host country after their approved leave, the ex-pat must repay the transportation costs connected with the home leave.

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5.5 Relocation and Demobilization Costs

The company will provide the ex-pat with a relocation allowance to assist with miscellaneous transition and moving expenses. The relocation costs are intended to cover but not limited to the following (as applicable): visas, flights, work and residence permits, movement of household goods, airfreight, shipment for land/sea container, and customs and taxes. The amount of the allowance will be a maximum of $20,000 USD for transition to the host country. The relocation allowance will be a reimbursement based on actual costs for transition to the host country, however, Partners will not cover expenses beyond $20,000 USD, unless authorized by the President & CEO for extenuating circumstances. If the ex-pat employee resigns for reasons within the employee's control within 12 months after hire, the ex-pat will be responsible for reimbursing Partners the amount provided to the employee for relocation costs, including any costs covered for spouse and/or dependents.

Upon expiration or termination of the ex-pat contract, at the discretion of the President and CEO, the ex-pat may be eligible for a demobilization allowance. The amount of the allowance will be a maximum of $20,000 USD for transition back to the home country. The demobilization costs are intended to cover but not limited to the following (as applicable): flights, movement of household goods, airfreight, shipment for land/sea container, and customs and taxes. The demobilization allowance will be a reimbursement based on actual costs for transition back to the home country, however, Partners will not cover expenses beyond $20,000 USD. If the ex-pat resigns before completing two years of service, he/she will not be eligible for a demobilization allowance.

5.6 Post Hardship Differential

In accordance with the U.S. Department of State Office of Allowances, Partners will pay post hardship differential (if applicable) based on the host country. Post hardship differential is assigned to posts where it has been determined by the U.S. government that the living conditions are extraordinarily difficult or notably unhealthy or there may be excessive physical hardship. Rates will be updated in accordance with changes from the Office of Allowance. Percentages are paid on top of the total salary. Post hardship differential starts on the day of arrival in the host country for assignment and is discontinued on the last scheduled workday in the host country.

5.7 Cost of Living Allowance (COLA)

In accordance with the U.S. Department of State Office of Allowances, Partners will pay a cost of living allowances (COLA) (if applicable) based on the host country. A COLA allowance is an increase in the ex-pat's pay in response to fluctuations in the economy. Rates will be updated in accordance with changes from the Office of Allowance. Percentages are paid on top of the total salary. COLA starts on the day of arrival in the host country for assignment and is discontinued on the last scheduled workday in the host country.

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5.8 Living Quarters/Accommodation Allowance

Partners will provide the ex-pat an allowance for living quarters/accommodation. The monthly allowance will vary based on local country prices and number of family members (spouse/dependents) residing in the host country with the ex-pat. The allowance is intended to cover the make ready and a fully furnished house or a house that can be easily furnished in a good, safe area in the host city of the host country. The allowance is also intended to cover basic utilities, Wi-fi, security (alarms and 24/7 security response or 24/7 on-site security guards). Depending on the host country infrastructure, the allowance may also cover generators, inverters, and water purification. The living quarters/accommodation allowance will be paid based on actual costs and reimbursed to the ex-pat.

5.9 Primary and Secondary Education Benefits for Dependents

If an ex-pat will be bringing dependents, Partners will pay for children's education from kindergarten through secondary school or high school grade 12 equivalent, or from age 2 to age 18. In countries where the local school system is inappropriate or in an unfamiliar language, International/ American/ British/ Canadian School may be an appropriate alternative. Partners will cover actual costs for education for all the ex-pats dependents on a reimbursement basis and will vary based on host country.

Educational expenses that Partners will cover are intended to include but not limited to the following:

- School registration fee
- Tuition fee
- School bus transportation fee

The education expenses not covered by Partners include but are not limited to the following:

- Summer school
- Summer camp
- School field trips
- Books and materials required for coursework

These costs, if necessary, will be the responsibility of the ex-pat.

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